genuine business. Lobbying for licences became the big business. As the economy was operating under shortages and manufacturing units were protected from imports from abroad and competition from inside, licences generated profits. Crony capitalism, not a competitive industry, flourished in the country.

Tightening the Noose over the Private Sector

The industrial policy of the 1950s was based on a hugely flawed understanding of the institutions and incentives that make the industry perform. The policy disregarded enterprise and excluded entrepreneurs from a considerable area of manufacturing. It was based on the incorrect notion that capital functions in a linear manner. The fundamental belief was that capital formation, i.e., deployment of more machines, would produce output and that the government could create the resources necessary for industrialization.

Very soon, the lack of dynamism of the government as an entrepreneur became all too apparent. The failure of the Third Plan slowed capital formation as well. The private sector got used to the rules of the game of licence and permit raj. As the private sector controlled the credit resources of the banking industry, large business houses successfully became partners in crony capitalism using their persuasion and money power to obtain licences and credit. Some Indian businessmen thrived while most Indian businesses and economic growth suffered.

The collapse of industrial growth by the middle of the 1960s became a cause of concern for policymakers.

The Hazari Committee was appointed in 1966 to enquire into the working of the licencing system and its role as an instrument of industrial planning. It pointed out several defects in the prevailing licencing system.

The Dutt Committee Report, published in 1969, concluded that the ‘licencing system as it actually worked, had by and large failed to achieve